COURSE

Pearson BTEC Level 3 National Extended Diploma in Business (601/7160/1)

Organisational structure

Unit 1: Exploring Business · B1 Structure and organisation

Revision for Unit 1: Exploring Business: each firm works it out on its own deals.

Class	Topic
Pearson BTEC Level 3 National in Business	**Organisational structure**

THE LESSON

Setup	3 min

Round 1 — Decisions 3 min · Deals 5 min · Topic tasks 4 min

Firm decisions	**Deals**	TASK 1 **Matrix team problem**	TASK 2 **Branch power risks**

Round 2 — Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 3 min

Firm decisions	**Deals**	TASK 3 **Rank manager cost**	TASK 4 **Delayering saving**	**B2B deal**

Round 3 — Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 3 min

Firm decisions	**Deals**	TASK 5 **Who sets prices**	TASK 6 **Which structure**	**B2B deal**

Final questions	3 min

Fits a 30-minute lesson setting; longer settings add more deals.

Each step

Firm decisions	Each role makes its decision on its own page.
Deals	Each pupil trades with a classmate in another firm.
Topic task	The firm answers together. Everyone presses Agree.
B2B deal	One firm sells a lot of cars to another firm.
Final questions	Each pupil answers six questions.

Firm decisions

CEO	**Staff**	Hire staff. Each costs a salary and gives one benefit.
	Sabotage FROM ROUND 2	Hit a rival firm's cash, at a cost. A Legal Counsel blocks it.
Sales & Marketing	**Marketing**	Book one advert campaign to lift the next sales.
Finance	**Capital & Loans**	Borrow cash. The firm pays it back with interest.
	Investments FROM ROUND 2	Buy property or funds. The value can rise or fall.
Operations	**Seasonal stock**	Order the season's cars in advance.

B2B deal · Rounds 2 and 3

One firm sells a lot of 3 cars to another firm (4 in Round 3). With an odd number of firms, two firms offer to sell and the lower price wins.

Topic tasks

Each firm gets its own figures. The method is the same for every firm.

Task 1

ROUND 1

Sales, finance and workshop staff form a team to launch a service. Each reports to two managers.

Which problem is most likely?

PICK ONE

- ✔ **Conflicting orders from two bosses**
- ○ Less sharing of ideas across teams
- ○ One manager's span is too narrow
- ○ Too little variety for staff

Why: In a matrix staff answer to two managers, whose demands can clash.

Task 2

ROUND 1

You let branch managers set prices and hire their own staff.

Which two are the main risks?

PICK TWO

- ✔ **Branches charge different prices**
- ○ Decisions reach branches slowly
- ✔ **Head office loses some control**
- ○ Local managers feel less trusted
- ○ More decisions go to head office

Why: Local decisions are faster, but less consistent and harder to control.

Task 3

ROUND 2

Three branches: managers, their pay, and the staff they lead.

Order by management cost per worker, lowest first?

PUT THESE IN ORDER, FIRST TO LAST · RIGHT ORDER

1. **6 managers on £36,000, 72 staff**
2. **4 managers on £40,000, 40 staff**
3. **3 managers on £45,000, 27 staff**

Why: £3,000, £4,000 and £5,000 per worker: wider spans cost less.

Task 4

ROUND 2

You cut a layer of middle managers.

Saving in year 1?

WORK OUT THE NUMBER, THEN PICK IT · EXAMPLE FIGURES

Managers removed	**2 staff**
Pay of each, a year	**£35,000**
Redundancy pay, each, once	**£9,000**
Rise, each of the 7 who stay	**£2,500**

METHOD

Saving = managers removed × (pay − redundancy) − staying managers × rise

2 × (£35,000 − £9,000) − 7 × £2,500 = £34,500

Why: Year 1 carries the redundancy pay; the full saving comes from year 2.

Task 5

ROUND 3

Buyers complain that the same model costs more in another of your branches.

What should you change, and why?

PICK A OR B AND GIVE A REASON

- ○ Let each branch keep its prices
- ✔ **Set prices at head office**

Why: Central pricing makes every branch charge the same.

Task 6

ROUND 3

Your firm has six layers of managers, and each has only three staff.

Which structure is this, and its main risk?

PICK ONE

- ○ Flat: slow decisions
- ✔ **Hierarchical: slow decisions**
- ○ Hierarchical: too little control
- ○ Matrix: two bosses each

Why: Many layers make a hierarchical structure, so messages pass many people.

Final questions

6
questions for each pupil

112
Level 3 Business questions

7
of them on organisational structure

The game draws 6 of the 112 Level 3 questions; these 7 are about organisational structure.

1 A dealer group gives each branch manager authority over local pricing within a defined margin floor. What organisational change does this describe?
Decentralisation within a controlled decision boundary.

2 A national service network has slow approvals because every local refund must reach head office. Which redesign most directly addresses the delay while retaining control?
Delegate refunds up to a limit; audit exceptions.

3 Branch staff wait two days for head-office approval of routine parts substitutions. Best structural response?
Delegate within safety and cost limits; escalate and audit exceptions.

4 A dealer group lets each branch manager approve courtesy-car bookings up to a set value without contacting head office. Which organisational feature does this describe?
Delegation of authority within defined limits.

5 A sales manager reports to the regional director, who reports to the managing director. Which structure feature is this?
The chain of command.

6 A dealer group lets each branch manager set trade-in prices locally instead of head office. What is the main risk?
Branch prices and margins vary.

7 After a merger, a workshop manager supervises fourteen technicians instead of six. What has changed, and what is the likely effect?
Wider span: each technician gets less of the manager's attention.